UNAUDITED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2026

Summary Consolidated Statement of Profit or Loss and Other Comprehensive Income For the	6 Months Ended 30.06.2026 Unaudited Kshs '000	6 Months Ended 30.06.2025 Unaudited Kshs '000	12 Months Ended 31.12.2025 Audited Kshs '000
Transaction levy - Equity	770,517	133,859	348,141
Transaction levy - Bond	187,293	153,019	298,113
Data income	75,221	58,212	118,318
Annual, initial and additional listing fees	45,649	33,300	71,153
Interest income	69,352	65,618	127,878
Broker back office subscriptions	-	16,399	28,901
Consultancy income	14,982	19,571	42,876
Dividend from equity investment	8,571	7,276	7,276
Unquoted securities platform fees	601	1,565	3,040
Other income	38,106	22,778	43,457
Total income	**1,210,292**	**511,597**	**1,089,153**
Staff costs	85,913	105,170	263,845
Systems maintenance costs	31,554	41,437	76,967
Depreciation and amortisation	16,465	19,196	38,441
Building and office costs	21,412	20,221	32,534
Directors' emoluments	26,852	26,060	56,145
Revaluation loss on property	-	-	3,617
Share of bond levy expense	37,337	31,149	58,756
Impairment of equipment and intangible assets	-	-	47,670
Other operating expenses	90,215	66,701	163,478
Total expenses	**309,748**	**309,934**	**741,453**
Operating profit before ECL and fair value movements	**900,544**	**201,663**	**347,700**
Provision for expected credit losses and bond mark to market valuation	(30,769)	(5,355)	(17,995)
Share of gain of associate	136,568	6,599	34,379
Profit before tax	**1,006,343**	**202,907**	**364,084**
Tax expense	(269,471)	(51,330)	(91,786)
Profit after tax	**736,872**	**151,577**	**272,298**
Other comprehensive (loss)/income			
Fair value (loss)/gain on equity investments at fair value through other comprehensive income	(76,781)	20,366	298,904
Fair value adjustment from associate on investment in Government securities	-	-	1,638
Total other comprehensive (loss)/income	**(76,781)**	**20,366**	**300,542**
Total comprehensive income	**660,091**	**171,943**	**572,840**
Earnings Per Share (EPS)* - Basic and diluted (Kshs)	**2.82**	**0.58**	**1.04**
Weighted average number of shares in issue	261,662,319	260,896,654	260,896,654

*EPS is calculated by dividing the profit after tax attributable to ordinary shareholders of the parent by the weighted average number of shares in issue during the period

Summary Consolidated Statement of Financial Position As at	30.06.2026 Unaudited Kshs '000	30.06.2025 Unaudited Kshs '000	31.12.2025 Audited Kshs '000
Assets			
Property and equipment	372,334	395,565	377,920
Intangible assets	8,766	78,602	18,804
Investment in associate	348,621	182,635	212,053
Financial assets at fair value through other comprehensive income – Quoted equity instruments	369,894	168,137	446,675
Government securities at amortised cost	208,346	201,587	198,840
Financial assets at fair value through profit or loss - Government securities	131,268	140,436	139,392
Cash and bank balances and bank deposits	1,218,912	751,008	997,723
Other assets	964,019	381,600	370,653
Total assets	**3,622,160**	**2,299,570**	**2,762,060**
Equity and liabilities			
Share capital	1,046,650	1,043,586	1,043,591
Share premium	289,786	280,321	280,225
Revenue reserves	1,232,376	635,696	756,417
Other reserves	295,186	91,791	371,967
Non-controlling interest	6,945	6,945	6,945
Total equity	**2,870,943**	**2,058,339**	**2,459,145**
Non-current liabilities	16,704	16,285	16,704
Other liabilities	734,513	224,946	286,211
Total shareholders' funds and liabilities	**3,622,160**	**2,299,570**	**2,762,060**

Summary Consolidated Statement of Cash Flows For The	6 Months Ended 30.06.2026 Unaudited Kshs '000	6 Months Ended 30.06.2025 Unaudited Kshs '000	12 Months Ended 31.12.2025 Audited Kshs '000
Cash flows from operating activities			
Cash generated from operations	317,241	126,233	254,561
Tax paid	(156,224)	(25,403)	(31,410)
Net cash generated from operating activities	**161,017**	**100,830**	**223,151**
Net cash generated from/(used in) investing activities	221,831	1,518	(142,341)
Net cash used in financing activities	-	(79,147)	(79,196)
Increase in cash and cash equivalents	**382,848**	**23,201**	**1,614**
Cash and cash equivalents at the start of the year	116,748	115,521	115,521
Effect of foreign exchange rate changes	56	(124)	(387)
Cash and cash equivalents at the end of the period/year	**499,652**	**138,598**	**116,748**

Summary Consolidated Statement of Changes in Equity	Share capital Kshs '000	Share premium Kshs '000	Revaluation & Other reserves Kshs '000	Retained earnings Kshs '000	Non controlling interest Kshs '000	Total Kshs '000
At 1 January 2025	**1,042,538**	**279,725**	**71,425**	**567,579**	**6,888**	**1,968,155**
Profit for the period	-	-	-	151,520	57	151,577
Other comprehensive income	-	-	20,366	-	-	20,366
2024 first and final dividend declared in the year	-	-	-	(83,403)	-	(83,403)
Issue of shares to employee share ownership plan	1,048	596	-	-	-	1,644
At 30 June 2025	**1,043,586**	**280,321**	**91,791**	**635,696**	**6,945**	**2,058,339**
Profit for the period	-	-	-	120,721	-	120,721
Other comprehensive income	-	-	280,176	-	-	280,176
Issue of shares to employee share ownership plan	5	(96)	-	-	-	(91)
At 31 December 2025	**1,043,591**	**280,225**	**371,967**	**756,417**	**6,945**	**2,459,145**
Profit for the period	-	-	-	736,872	-	736,872
Other comprehensive loss	-	-	(76,781)	-	-	(76,781)
2025 first and final dividend declared in the year	-	-	-	(260,913)	-	(260,913)
Issue of shares to employee share ownership plan	3,059	9,561	-	-	-	12,620
At 30 June 2026	**1,046,650**	**289,786**	**295,186**	**1,232,376**	**6,945**	**2,870,943**

BASIS OF PREPARATION

The accounting policies and methods of computation followed in the preparation of these summary financial statements are consistent with those used in the Group's annual financial statements as at and for the year ended 31 December 2025 and do not include all the notes required for full annual financial statements.

These summary financial statements are extracts from the books of accounts of the Group and were approved by the Board of Directors on 27 August 2026.

OPERATING ENVIRONMENT IN 2026

Kenya's economy remained resilient during the first half of 2026, with the International Monetary Fund (IMF) projecting 4.5% growth for the year 2026 supported by the services and industrial sectors, stable agricultural output, and improving private-sector credit.

The outlook was, however, moderated by geopolitical tensions in the Middle East, particularly the conflict involving Iran, Israel, and the United States, which disrupted shipping through the Strait of Hormuz and increased global energy and logistics costs.

The Central Bank of Kenya (CBK) held the Central Bank Rate at 8.75%, pausing its easing cycle to balance support for economic activity against the risk of imported inflation. Commercial lending rates continued to decline, averaging 14.5% by mid-2026, aided by the implementation of the risk-based credit pricing model.

The Kenya Shilling remained broadly stable at KES 129–130 against the US Dollar, supported by strong foreign exchange reserves and diaspora remittances. Headline inflation rose to 6.5–6.7% by mid-2026, remaining within the CBK's 2.5%–7.5% target range, with higher fuel and transport costs driving most of the increase.

MARKET PERFORMANCE

The NSE delivered an exceptional market performance during the six months ended 30 June 2026, with strong gains recorded across the equity, fixed income, and derivatives markets. The performance reflected increased investor participation, improved market liquidity, strong domestic and foreign investor confidence, and continued capital reallocation into listed securities amid a supportive macroeconomic and monetary environment.

The equity market recorded its strongest performance in several years, with turnover rising by 476% to Kshs. 322 billion, compared to Kshs. 56 billion in the corresponding period in 2025. Trading activity was supported by increased participation from both institutional and retail investors, alongside a significant block trade involving 6.01 billion Safaricom Plc shares valued at Kshs. 204.3 billion, which materially boosted market liquidity and turnover. Excluding the Safaricom block trade, equity market turnover still increased by 111% year-on-year, underscoring the broader improvement in trading activity and investor participation.

The fixed income market also maintained strong momentum, with bond market turnover increasing by 22% to Kshs. 1.703 trillion from Kshs. 1.391 trillion over the same period last year. The growth was driven by higher activity in the secondary bond market and increased government bond reopenings, which enhanced market depth and trading opportunities for investors.

The derivatives market recorded its highest performance on record, with turnover increasing by 1,774% to Kshs. 637 million from Kshs. 34 million reported in 2025. The significant growth was driven by increased retail investor participation, stronger market-making activity, and the reduction in contract sizes for single-stock futures which improved accessibility and trading volumes on the derivatives platform.

The sustained improvement in market sentiment was reflected in the performance of the NSE's benchmark indices, all of which recorded double-digit gains during the period. The NSE All Share Index (NASI) rose by 20.14% to 224.15, while the NSE 20 Share Index gained 19.63% to 3,755.44. The NSE 10 Share Index and NSE 25 Share Index advanced by 22.61% and 21.82%, respectively, closing at 2,409.62 and 6,208.91 points.

The period under review marked a significant turning point for the NSE, with a notable resurgence in listing and capital-raising activity that underscored renewed confidence in Kenya's capital markets. The successful listing of Kenya Pipeline Company ended an IPO drought of more than a decade and represented a landmark milestone in the growth, depth, and diversification of the market. This was followed by the listing of Family Bank, the largest private sector listing in more than a decade, further reinforcing the Exchange's role as a preferred platform for corporate capital formation.

Market activity was also broadened through the listing of the TRIFIC USD-Denominated Real Estate Investment Trust (REIT), which expanded the range of investment products available to investors and strengthened the market's alternative investment offering. In addition, the listings of the KMRC Bond and the I&M Bond reflected sustained demand for fixed-income securities and highlighted the growing use of the Exchange as a platform for long-term funding.

FINANCIAL HIGHLIGHTS

The Group delivered an outstanding financial performance in the first half of 2026, with profit after tax increasing by 386% in the first half of 2026 to Kshs. 736.9 million, compared with Kshs. 151.6 million recorded in the first half of 2025. The significant improvement reflects strong operational execution and enhanced profitability, underpinned by a substantial increase in trading activity across both the equities and fixed-income markets.

Revenue growth was led by the equities segment, where equity transaction levy income rose by 476% to Kshs. 770.5 million from Kshs. 133.9 million in H1 2025. This performance was driven by increased market liquidity, heightened participation from both domestic and foreign investors, and the impact of the Safaricom block trade transaction executed during the period.

The fixed-income segment also recorded solid growth, with revenue increasing by 22% to Kshs. 187.3 million, compared with Kshs. 153.0 million in the corresponding period of 2025. In addition, data income grew by 29%, rising to Kshs. 75.2 million in H1 2026 from Kshs. 58.2 million recorded in H1 2025, reflecting continued demand for the Exchange's market data products and services.

The Group recorded a fair value loss of Kshs. 76.8 million on its investment in quoted equity securities, representing an unrealised mark-to-market adjustment on its equity investment portfolio.

Other assets as at 30 June 2026 include Kshs. 490 million equity levy fee receivable on the Safaricom block trade transaction.

Other liabilities as at 30 June 2026 include Kshs. 260.9m dividend payable for the year 2025, Kshs. 137.9m tax payable and Kshs. 67.3m deferred fees on 4 additional trading participants admitted as members of the NSE.

The Group's financial position strengthened considerably during the period, with total investable funds increasing to Kshs. 1.219 billion from Kshs. 751 million in H1 2025.

Profitability ratios also improved markedly from H1 2025 to H1 2026, with annualised Return on Assets (ROA) rising from 13.2% to 40.7% and annualised Return on Equity (ROE) increasing from 14.8% to 51.5%, underscoring the Group's enhanced earnings capacity and efficient utilisation of capital.

OUTLOOK – SECOND HALF OF 2026

In the second half of 2026, the Board will focus on executing key strategic deliverables under the NSE 2025–2029 Strategy, with particular emphasis on strengthening market infrastructure, increasing listings across the equity and debt markets, and expanding investor participation.

A key priority is the implementation of the NSE's new integrated market infrastructure system. This investment will significantly enhance the Exchange's technological capabilities, improve market efficiency and resilience, strengthen risk management, support the introduction of new products, and provide a more seamless experience for investors and market participants.

The NSE will also continue to engage prospective issuers across priority sectors, with a pipeline of equity and debt transactions at various stages of preparation. The Board expects additional listings and capital-raising activity in the second half of the year, supported by ongoing engagement with corporates, intermediaries, and government stakeholders.

The Exchange is also strengthening its partnership with the Government of Kenya with the objective of accelerating national adoption of the NSE as a platform for savings, investment, and capital formation. This collaboration is aimed at positioning the Exchange as an essential component of Kenya's economic ecosystem, supporting privatization, infrastructure financing, enterprise growth, and broader financial inclusion.

The Board remains confident that these initiatives will reinforce the NSE's role in mobilizing capital, broadening investment opportunities, and advancing the long-term objectives of the NSE 2025–2029 Strategy.

DIVIDENDS

The Board of Directors has resolved not to declare an interim dividend for the six months ended 30 June 2026.

PUBLICATION NOTE

The statement of profit or loss and other comprehensive income, statement of financial position, statement of cash flows and statement of changes in equity are extracts from records of the Group.

These unaudited financial statements are available on the NSE's website **www.nse.co.ke.** These unaudited financial statements were approved by the Board on Thursday, 27 August 2026 and signed on its behalf by:

Tom Mulwa
Chairman

Frank Lloyd Mwiti
Chief Executive Officer